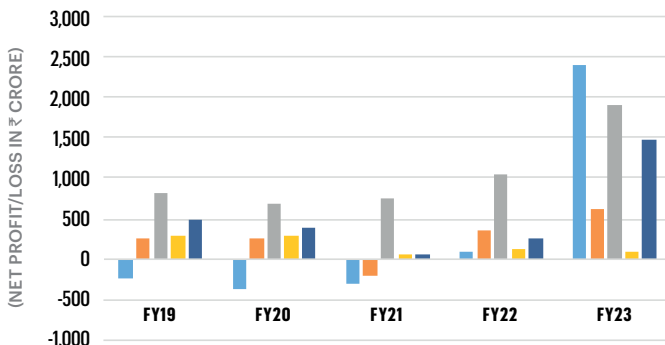


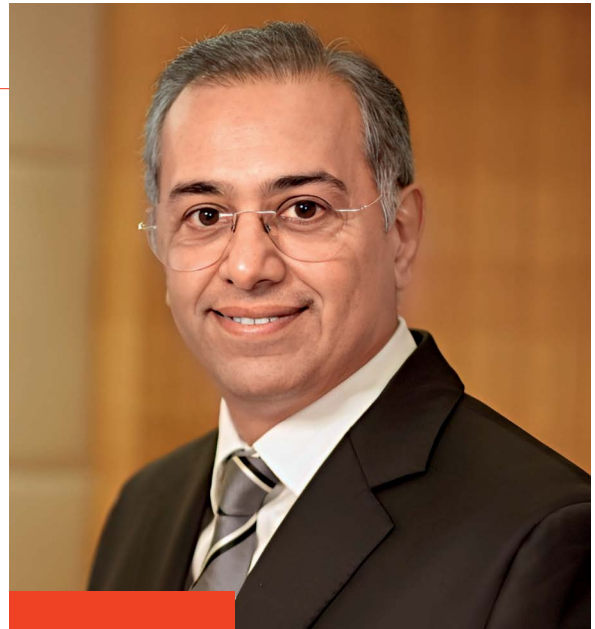
TURNING AROUND

► After experiencing losses in FY19 and FY20, Tata Realty saw a significant turnaround in FY23, with its net profit going up substantially



● TATA REALTY ● GODREJ PROPERTIES ● OBEROI REALTY
● SOBHA ● THE PHOENIX MILLS

SOURCE COMPANY ANNUAL REPORTS, BSE DATA



TRIL'S FINANCES QUICKLY IMPROVED ONCE THE COMPANY'S OVERHAUL WAS COMPLETE, SAYS ITS MD & CEO SANJAY DUTT

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kets are currently the largest in TRIL's portfolio, Dutt expects the new projects to tilt the balance towards Mumbai. Out of 10 million sq. ft of new launches, 40% will be in Mumbai, which will be a mix of greenfield and redevelopment sites. These luxury projects in Mumbai are anticipated to yield additional revenue of approximately ₹7,500-8,000 crore, consolidating the city's position as not only the largest residential real estate market in the country but also TRIL's foremost market. "In the next [financial] year, Mumbai is likely to be the largest," confirms Dutt.

In addition to its increased presence in TRIL's latest ventures, the consistent appreciation of property prices in Mumbai has propelled its ascent within TRIL's existing portfolio, surpassing traditional strongholds such as the NCR market. To put this in context, just five years ago, the average rate stood at ₹6,000-7,000 per sq. ft; today, residential projects under its Mumbai portfolio command an average exceeding ₹12,000 per sq. ft. Roughly 70% of these new developments fall within the premium and luxury segments, while the remaining 30% cater to the aspirational, affordable and mid-range housing categories. As a result, the company management now estimates that the revenue of its residential business

will double in FY25 from the current ₹2,500 crore levels.

Dutt says that TRIL's presence in Mumbai is limited, but the potential is huge. "Nearly ₹8,000 crore out of the ₹11,000 crore worth of residential projects in our pipeline will be coming from Mumbai," he adds.

Dutt is now readying TRIL for the long haul. In the commercial space, which is the firm's traditional stronghold, the company has built 10 million sq. ft of real estate, while another 10 million sq. ft is under various stages of development. The company recently acquired a 25-acre land parcel in Bengaluru's upmarket Whitefield area from Graphite India, which will give it an additional 4.5 million sq. ft of commercial space. "Thus, roughly, 10 million sq. ft of new additions will be greenfield projects and takes the total area to 30 million sq. ft," says Dutt.

Additionally, TRIL has a major presence in two of India's neighbours—Sri Lanka and the Maldives. It is increasingly moving into the luxury segment in the Maldives, and its project in Sri Lanka's Colombo—nearly 2.5 million sq. ft for mixed use—is expected to rake in an additional ₹2,000 crore. The plan is to develop and exit these international markets eventually. **BT**

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